Luminor Bank

Issuer review · 1H2026

Analysis date: 2026-10-22
Rating: Moody's - affirmed after the OTP announcement (grade to be confirmed; 2025 annual report refers to 'current A2 rating')[1,2]
Next report: 3Q 2026 interim report - expected November 2026

Net profit (2Q2026)	ROE (1H2026)	CET1 ratio (1H2026)	LCR (1H2026)
37.4 EUR m	**7.7%**	**19.6%**	**187.0%**
▼ 19.0 % vs 2Q2025	▼ 0.9 p. p. vs FY2025	▼ 0.6 p. p. vs FY2025	▲ 12.4 p. p. vs FY2025

Quick summary

- **Profit down about a fifth:** 1H 2026 net profit EUR 72.0m versus 91.6m a year ago; Q2 alone EUR 37.4m versus 46.2m. Return on equity 7.7%[3].
- **Capital and liquidity well above requirements:** CET1 19.6% and total capital 23.7%. MREL 36.34% of TREA versus a 23.69% requirement plus buffers. Liquidity: LCR 187.0%, NSFR 142.3%[4].
- **New owner coming:** on 2026-07-20 it was announced that OTP Bank will buy 100% of Luminor from the Blackstone-led consortium and DNB. Regulatory approvals are pending. Moody's kept the rating and outlook[5].
- **Part of capital to be returned:** on 2026-07-17 the ECB approved a EUR 200.0m reduction of CET1 capital, expected in Q4 2026[6].
- **Cheaper funding:** a EUR 300m senior bond at MS+4.471% was repaid and the first EUR 500m senior non-preferred bond was issued at MS+1.28%[4].

Instruments held and ISINs

ISIN	Instrument	Coupon	Maturity	Note
XS2633112565	Luminor Bank 7.75% 2027	7.750%	2027-06-08	⚠ Amount/ranking/call date not on issuer placements page - check Final Terms
XS3079969104	Luminor Bank 3.551% 2029	3.551%	2029-06-12	⚠ Placements page shows 12.06.2028 in maturity column but 2029 in name - likely call 2028 / final 2029; check Final Terms
XS2888497067	Luminor Bank 4.042% 2028	4.042%	2028-09-10	⚠ Amount/ranking/call date not on issuer placements page - check Final Terms
XS2982074861	Luminor Bank 7.375% perpetual (AT1?)	7.375%	perpetual	⚠ Perpetual; annual report mentions inaugural EUR 150m AT1 in 2025 - link to this ISIN not confirmed

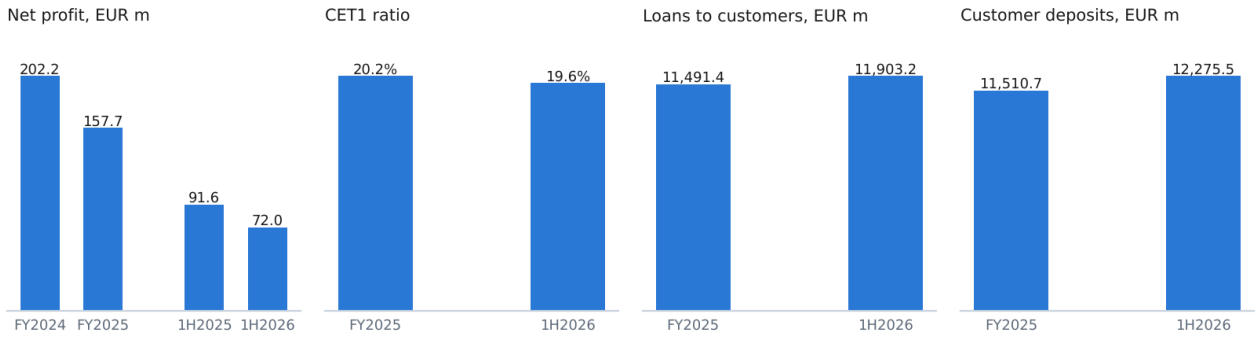
Key ratios

Metric	FY2024	FY2025	1H2025	1H2026	Change
Net profit, EUR m[7,8]	202.2	157.7	91.6	72.0	**▼ 21.4 % vs 1H2025**
Net interest income, EUR m[9]	–	427.3	–	214.4	–
Total operating income, EUR m[9]	–	544.7	–	271.7	–
Cost/income ratio[9]	–	64.7%	–	**65.5%**	–
ROE[9]	–	8.6%	–	**7.7%**	–
Cost of risk[9]	–	0.01%	–	0.14%	–
Net interest margin[10,9]	–	2.71%	–	2.70%	–
Loans to customers, EUR m[4]	–	11,491.4	–	11,903.2	**▲ 3.6 % vs FY2025**

Metric	FY2024	FY2025	1H2025	1H2026	Change
Customer deposits, EUR m[4]	–	11,510.7	–	12,275.5	▲ 6.6 % vs FY2025
CET1 ratio[10,4]	–	20.2%	–	**19.6%**	▼ 0.6 p. p. vs FY2025
Total capital ratio[10,4]	–	24.6%	–	**23.7%**	▼ 0.9 p. p. vs FY2025
Leverage ratio[10,4]	–	10.0%	–	**9.9%**	▼ 0.1 p. p. vs FY2025
MREL (% of TREA)[10,4]	–	35.54%	–	36.34%	▲ 0.8 p. p. vs FY2025
LCR[10,4]	–	174.6%	–	**187.0%**	▲ 12.4 p. p. vs FY2025
NSFR[10,4]	–	134.1%	–	**142.3%**	▲ 8.2 p. p. vs FY2025
NPL ratio[10,4]	–	2.0%	–	**2.1%**	▲ 0.1 p. p. vs FY2025

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (tool benchmarks, config/metric_rules.yaml).

* – verify in the original; ᶜ – calculated by the tool. Small numbers next to text link to the source (opens the document at the cited page).



Business performance review

- Loans to customers EUR 11,903.2m (+3.6% since YE2025), deposits EUR 12,275.5m (+6.6%; changes calculated by the tool)[4].
- Net interest income 1H EUR 214.4m; net interest margin 2.70% (2025: 2.71%)[9,10].
- **Cost/income 65.5% (2025:** 64.7%); cost of risk 0.14% (0.01%); NPL ratio 2.1% (2.0%)[9].
- EUR 74.0m of dividends for 2025 paid in 1H 2026[4].

Financials

- **FY2025 net profit EUR 157.7m (2024:** 202.2m, −22.0%), ROE 8.6%, CET1 20.2%, total capital 24.6%[11].
- **FY2025 figures restated in the 2Q report:** net interest income EUR 427.3m (annual report: 419.8m), total income EUR 544.7m (537.2m)[9,12].

Past plans vs outcomes

Plan / target	Outcome	What changed and why	Status
Issue senior non-preferred bonds while keeping the current A2 rating (2025 annual report)	EUR 500m SNP issued in 1H 2026; Moody's affirmed the rating[2,1]	Met: EUR 500m SNP issued at MS+1.28% while a EUR 300m senior bond at MS+4.471% was redeemed, so funding became cheaper[4].	**Met**
Reduce CET1 capital by EUR 200.0m (approval received 2026-07)	Planned for Q4 2026[6]	New plan: the ECB approved it on 2026-07-17. Capital is well above requirements (CET1 19.6%), so excess capital is returned[6].	**In progress**
Owners: Blackstone-led consortium (80.05%) and DNB (19.95%) (2025 annual report)	Sale to OTP Bank (100%) announced 2026-07-20, approvals pending[13,14]	Changed: the owners agreed to sell 100% to OTP Bank; Moody's affirmed the rating and outlook after the announcement[5].	**Revised**

Investor information & conclusions

- **Instruments held:** three dated bonds (7.75% 2027, 4.042% 2028, 3.551% 2029) and a perpetual 7.375% bond. Ranking (senior / SNP / AT1), amounts and call dates are not on the issuer's list - check the Final Terms[15].
- **For bondholders:** capital and MREL buffers are well above requirements and liquidity has increased. The EUR 200m CET1 reduction will lower the buffer; the bank does not state the impact on the CET1 ratio in the sources[4].
- **OTP deal:** check bond terms for change of control and the effect of the new owner's rating. XS3079969104 - the issuer list shows maturity 2028-06-12 but 2029 in the name (possibly a 2028 call)[4,15].
- **Conclusion:** profitability is declining (1H profit −21%), but capital, MREL and liquidity have large buffers. The key event for holders is the change of owner to OTP. Watch: 3Q report, OTP deal approvals, the Q4 capital reduction.

ESG report

Exclusionary screening (companies)

☐ Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel

Needs review

- The bank itself is not active in these sectors.
- No information on lending restrictions to them found automatically (Luminor sustainability pages not readable) - check the 2025 annual report[12].

☐ Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards

Needs review

- No 2026 red flags found in a quick search (2026-10-22).
- Recommended to check AML history.

☐ Yes, the company is not in the list of sanctions (add a screenshot)

Needs review

- Checked by the analyst with internal tools (add a screenshot).
- Note: new owner OTP Bank (Hungary)[14].

☐ Yes, issues were not identified from adverse media checks (add a screenshot)

Needs review

- The automatic news scan (30 days) found no adverse headlines
- Most news is about the OTP deal.
- Analyst confirms and adds a screenshot.

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company’s Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG integration and positive screening (positive answers imply higher allocation)

☑ Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)

- Sustainable real estate and renewable energy lending EUR 305.4m in 2025 (EUR 182.4m in 2024), target EUR 700m by 2030
- Green or sustainability-linked bonds 7.4% of the bond portfolio
- Sustainalytics ESG risk rating 18.4 (low risk)[16].

☐ Yes, the activities of the company or it’s strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)

Needs review

- No financed-emissions targets, net zero or NZBA commitment found automatically.

☐ Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards

Needs review

- No yellow flags found in a quick search
- The change of owner (OTP) may change ESG policies[14].

☑ Yes, the company fulfills the expectations from SEB thematic and sector policies

Applicable

- No SEB sector policy for banks, so the Investments policy and the Environmental and Social & Human Rights policies apply[17].

Met

- No breach of governance or international norms found (quick search, 2026-10-22)
- Financed emissions disclosed using PCAF (Scope 3 3.2m t CO2e in 2025)[18]
- Climate neutrality target for 2050[16]
- Sustainable real estate and renewable lending EUR 305.4m, target EUR 700m by 2030[16]
- Sustainalytics ESG risk rating 18.4 (low risk)[16]
- Human rights commitment[19]
- AML and sanctions compliance[19]
- Anti-bribery measures and whistleblowing channels (from summary, verify)[20].

Not found

- A published lending exclusion list (coal, oil & gas, weapons) and UN Global Compact / UNEP FI PRB membership
- Check Luminor's sustainability policy and transition plan principles.

Additional comments:

Engagement

☐ Is there a need for pro-active engagement with the company?

Needs review

- Suggested topics: financed-emissions disclosure, fossil fuel lending policy, ESG policies after the OTP acquisition.

Additional comments:

Indicators

☐ Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund

Needs review

- PAI indicators (financed emissions, board gender diversity, etc.) not found automatically - check the 2025 annual report[12].

Additional comments:

Conclusion: Too little ESG evidence found automatically; most items need manual review based on the 2025 annual report. Watch ESG policies after the OTP acquisition.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Financial sector - no dedicated SEB sector policy (thematic policies applied); Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

Sources

1. Luminor Bank - Interim report 2Q 2026, p. 15, 2026-08-11
2. Luminor Bank - Annual report 2025, p. 9, 2026
3. Luminor Bank - Interim report 2Q 2026, p. 5, 16, 2026-08-11
4. Luminor Bank - Interim report 2Q 2026, 2026-08-11
5. Luminor Bank - Interim report 2Q 2026, p. 4, 15, 2026-08-11
6. Luminor Bank - Interim report 2Q 2026, p. 4, 8, 2026-08-11
7. Luminor Bank - Annual report 2025, p. 7, 2026
8. Luminor Bank - Interim report 2Q 2026, p. 5, 2026-08-11
9. Luminor Bank - Interim report 2Q 2026, p. 16, 2026-08-11
10. Luminor Bank - Annual report 2025, p. 8, 2026
11. Luminor Bank - Annual report 2025, p. 7-8, 2026
12. Luminor Bank - Annual report 2025, 2026
13. Luminor Bank - Annual report 2025, p. 5, 2026

14. Luminor Bank - Interim report 2Q 2026, p. 4, 2026-08-11
15. Luminor - Primary placements (bond list), 2026-09-28
16. Luminor Bank - Annual report 2025, p. 19, 2026
17. SEB Policy on Sustainability Considerations in Investments (2026-04-15), p. 5, 7, 2026-04-15
18. Luminor Bank - Annual report 2025, p. 22, 2026
19. Luminor Bank - Annual report 2025, p. 18, 2026
20. Luminor Bank - Annual report 2025, p. 23, 28, 2026

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